

THE UNITED REPUBLIC OF TANZANIA

OFFICE OF THE TREASURY REGISTRAR



PERFORMANCE CONTRACT

QUARTERLY PROGRESS REPORTING FORMAT

OCTOBER 2025

1.0 INTRODUCTION

The Quarterly Progress Reporting format describes the financial and physical performance of an institution based on the set targets. It provides feedback of implementation of plans and budgets that were approved at the beginning of each the financial year.

As stipulated in the plan and budget Guidelines issued by the Ministry of Finance and Planning annually, Quarterly Reports assist in assessing the progress made against the set targets, identify problems encountered and take the corrective measures aimed at improving the performance of an institution.

The quarterly performance review indicates physical implementation of activities, approved revenue budget versus actual revenue earned for each quarter, Personnel Emoluments (PE) budget versus actual Personnel Emoluments incurred during the Quarter under review, Other Charges budget versus actual other charges and finally development budget versus actual development executed.

In addition to this, each Institution is required to provide information on implementation on Performance Contract on quarterly basis on each relevant Key Performance Indicator as per the signed Performance Contract. The purpose of quarterly performance contract reporting is to enable the Office of the Treasury Registrar to track implementation in each institution.

The Format for presenting and submitting the Quarterly Progress Report is attached.

QUARTERLY PROGRESS REPORT

1.0 AN OVERVIEW OF IMPLEMENTATION OF TARGETS

2.0 NAME OF INSTITUTION: Muhimbili National Hospital

3.0 REPORTING PERIOD: 1ST Quarter of FY 2025/2026

4.0 KEY PERFORMANCE MEASUREMENTS (MUHIMBILI NATIONAL HOSPITAL (MNH))

This section will have five (5) parts: People Management; Environmental Sustainability, Good Governance and Control; Customer Service; Core Functions/Mandates; and Financial Performance.

4.1 PEOPLE MANAGEMENT (20 scores)

This criterion measures the efficiency of various Human Resource Management practices towards enhancing organizational productivity and sustainability. It covers aspects such as human capital utilization, human capital development, Performance management systems, employee welfare and care and fight of HIV, AIDS, and non-communicable disease.

S N	Objectives/ Strategies	Key Performance Indicators	Weight (%)	Benchmark	Indicator Target Value	Quarterly Report		Remarks
					2025/26	1 st Quarter	Cumulative	
1.	Enhance human capital utilization	Employee productivity rate	2	Increase YoY	32,103,124	7,647,443.18	7,647,443.18	Increase number of staff to 3,388 contributed the revenue generated of Tshs 25,909,537,500
		% of employee satisfaction level	2	Increase YoY	75%	74%	74%	Based on previous financial year statistics
2.	Enhance Human capital development	% of staff trained annually	2	As per training needs assessment	55%	20%	20%	677 out of 3,388 Total staff attended both Long term and short term training
3.	Improve employee	Employee Retention Rate	2	70% - 80%	90%	89.17%	89.17%	We start the quarter with 3,021 and ended with 3,388 Employee

S N	Objectives/ Strategies	Key Performance Indicators	Weight (%)	Benchmark	Indicator Target Value	Quarterly Report		Remarks
					2025/26	1 st Quarter	Cumulative	
	welfare	% of grievance resolved	2	100%	Nil	Nil	Nil	Nil
		Time-to-fill key vacancies	2	Maximum 6 months	6 months	6 months	6 months	From permit granted to enrolment of new employee
		% of critical positions with successors	2	Above 80%	80%	90%	90%	-
4.	Improve care and fight of HIV and non-communicable disease	% of staff LHIV provided with care and support	2	100%	100%	100%	100%	Staff voluntarily discloses his or her HIV status to the Administrative Officer, confidentiality is strictly maintained.
		Number of employees with non-communicable diseases reduced.	2	0	0	0	0	No records
		Number of awareness program on HIV/AIDS and NCD Conducted	2	1	1	1	1	HIV/AIDS and Non communicable diseases awareness conducted induction course of 195 new employees.

S N	Objectives/ Strategies	Key Performance Indicators	Weight (%)	Benchmark	Indicator Target Value	Quarterly Report		Remarks
					2025/26	1 st Quarter	Cumulative	
TOTAL			20					

4.24.2 ENVIRONMENTAL SUSTAINABILITY, GOOD GOVERNANCE AND CONTROL (15 scores)

This criterion measures the adherence to Good Governance and Accountability principles and practices by an Institution. It covers several parameters of governance and accountability, including anti-corruption measures, Board efficiency and effectiveness, risk management and controls, and compliance with Laws and Regulations

SN	OBJECTIVES /STRATEGIES	KEY PERFORMANCE INDICATORS	WEIGHT (%)	BENCHMARK	INDICATOR TARGET VALUE	BASELINE DATA		Remarks
					2025/26	1 st Quarter	Cumulative	
1.	Governance Systems and Strategic Oversight	Number of anti- corruption awareness program conducted	1	1	4	1	1	One awareness conducted during induction of New employees
		Number of Board meetings held as scheduled	1	4	4	1	1	Conducted One meeting per quarter
		% of Board decisions implemented within timeframe	1	Above 85%	85%	20%	20%	Will be fully implemented throughout the year

2.	Strengthen the oversight function to improve operational efficiency, accountability, and transparency within the institution.	Quality of Audit opinion	1	Unqualified	Unqualified Audit opinion	Unqualified Audit Opinion		The Audit assignment is In Progress
		Audited Financial Statement published in website	2	Published	Published	0	0	Not published
		Timeliness of progress report submission	2	15 days after each quarter	15 days after each quarter	30 days	30 days	Following the review by the Board
		% of audit findings resolved by the deadline	2	Above 85%	95%	75%	75%	Implemented throughout the year
		Overall rating of board assessment	2	Above 75%	85%	Nil	Nil	The assessment Not yet conducted
3.	Environmental Sustainability	% reduction in paper/energy usage	1	Decrease YoY	10%	2%	2%	Verified by the Consumption of Stationeries (Rim paper an files)
		Number of green initiatives implemented	1	Increase YoY	1	1	1	1
4.	Compliance, and Internal Controls	Implementation rate of risk mitigation plans.	1	Above 85%	90%	90%	90%	90%
TOTAL			15					

4.3. CUSTOMER SERVICE (15 scores)

This criterion measures the capacity of the institution to provide quality and innovative services to its customers, including the growth of its customer base. Key parameters of interest include efficiency in service delivery, client satisfaction, service automation, and efficiency in handling complaints.

SN	OBJECTIVES/ STRATEGIES	KEY PERFORMANCE INDICATORS	WEIGHT (%)	INDICATOR TARGET VALUE	BENCHMARK	BASELINE DATA		REMARKS
				2025/26		1 st Quarter	cumulative	
1.	Timeliness and Reliability of Service Delivery	% of services automated	3	50%	100%	65%	65%	Part of Services are not automated
		Average response time in serving customers	2	1:30 Hours	As per client service charter	1:30	1:30	Nil
2.	Awareness, Equity, Accessibility, and Customer base growth	% of outreach / public awareness programs conducted	2	100%	100%	15%	15%	15% of total number of outreach planned conducted
		Number of services accessible to rural/remote users (i.e availability in multiple formats/languages)	2	4	Increase YoY	-	-	Nil
		Clientele growth rate	2	18%	Positive growth rate	3%	3%	Patients increased by 3% in this quarter
3.	Customer Satisfaction and Feedback Mechanisms	Customer satisfaction score	2	84%	Above 75%	95%	95%	Survey of Customer satisfaction score above target

4.	Complaint Handling and Grievance Redress	% of customer complaints resolved on time	2	90%	100%	-	-	To be report at year end
TOTAL			15					

4.4. CORE FUNCTIONS/MANDATES (30 scores)

This criterion measures performance in the implementation of the core mandate of an institution. Specific variables for this indicator include but not limited to efficiency in service delivery and expansion in service provision

S/N	OBJECTIVES /STRATEGIES	KEY PERFORMANCE INDICATORS	WEIGHT (%)	INDICATOR TARGET VALUE	QUARTERLY PERFORMANCE		REMARKS
				2025/26	1 st Quarter	Cumulative	
1.	Provide evidence based super specialist clinical, diagnostic and treatment services	Number of Specialized cases diagnosed	3	30,000	10,011	10,011	Nil
		Average turnaround time for laboratory results	3	3.00 hours	3:00	3:00	Performed as Planned
		The average inpatient length of stay	2	7 Days	7 Days	7 Days	Performed as Planned
		Patients on the waiting list for admission	3	0	0	0	Nil
		Average bed occupancy rate	2	91%	95%	95%	Bed occupancy increases as optimized medical services
		Average ICU occupancy rate	2	90%	78.6%	78.6%	ICU bed occupancy rate below targets

S/N	OBJECTIVES /STRATEGIES	KEY PERFORMANCE INDICATORS	WEIGHT (%)	INDICATOR TARGET VALUE	QUARTERLY PERFORMANCE		REMARKS
				2025/26	1 st Quarter	Cumulative	
		Mortality rate	2	4%	9.6%	9.6%	Mortality rate above targets
2.	Enhance healthcare research and training that focuses on improving care, innovation and teaching	Specialized medical camps conducted	2	28	57	57	Above targets medical camp conducted
		Medical students trained.	2	700	421	421	Trained number of students above targets
		Specialized practical training conducted	2	300	72	72	72 instead of 75 trainings conducted.
		Research published in the credible journals	2	96	37	37	Published above targets of 24 Journals per quarter
		Availability of specialized essential medicines.	2	98%	96%	96%	Drugs supplied by MSD and other companies based on Hospital needs
3.	Develop and maintain physical infrastructure and equipment, ICT and environmental management services	Health management processes automated	2	98%	70%	70%	30% of processes still managed manually
TOTAL			30				

4.5. FINANCIAL PERFORMANCE (20 scores)

This Indicator will measure compliance with financial Regulations, Circulars, Standards, and Best Practices. It measures how an entity ensures profitability, control costs, generates a return to shareholders while serving its core service delivery, attracts future investments and customers, and manages financial risks (incl. controlling debt levels).

SN	DESCRIPTION	KEY PERFORMANCE INDICATORS	WEIGHT (%)	BENCHMARKS	INDICATOR TARGET VALUES	QUARTERLY PERFORMANCE		REMARKS
					2025/26	1 st Quarter	cumulative	
1	Percentage of revenue collected Compared to total revenue (Supposed to be collected) during the year	Revenue Collection Efficiency	2	100%	106%	104%	104%	Revenue collected above budget by 4%
2	Percentage increase in internally generated revenue during the year	Revenue growth rate	3	Min.10%	9%	6%	6%	Quarterly revenue growth by 6%
3	Amount contributed to the Consolidated Fund during the year compared to the target	Contribution Rate to the Consolidated Fund	3	100%	100%	100%	100%	Contributed through Exemptions cost granted to patients
4	The proportion of PSCs assets that are financed through debt	Debt to Asset Ratio	2	Max. 50%.	32%	0	0	Currently No assets financed by Debt

SN	DESCRIPTION	KEY PERFORMANCE INDICATORS	WEIGHT (%)	BENCHMARKS	INDICATOR TARGET VALUES	QUARTERLY PERFORMANCE		REMARKS
					2025/26	1 st Quarter	cumulative	
5	% of government subvention to total revenue	Subvention dependency rate	2	Decrease YoY	40%	36%	36%	Subvention for development not yet released by in 1 st quarter
6	Proportion of short-term funds to short-term maturing obligation during a year	Liquidity Ratio	2	2:1	1.1	1:0.9	1:0.9	The Liquidity reserves is small compared to total liability
7	Operating Expenses / Operating Revenues	Cost to income ratio	2	Max. 50%	80%	66%	66%	Operating costs high compared to Revenue due to exemptions given to patient
8	Total amount of project funding secured from non-traditional sources (e.g., PPPs, development partners, capital markets, private sector investment) in a given period.	Value of Funds Mobilized from Alternative Financing Sources	2	Increase YoY	6,000,000,000	0	0	Nil
9	Variance between approved budget and actual expenditure	Budget execution rate	2	Min. 90%	100%	78%	78%	Approved Development budget not yet released
TOTAL			20					

DESCRIPTION OF TERMS (PEOPLE MANAGEMENT, GOOD GOVERNANCE AND CONTROL, CUSTOMER CARE AND FINANCIAL PERFORMANCE CATEGORIES)

1. PEOPLE MANAGEMENT

- a) **Employee Productivity Rate** - Total revenue divided by the total number of employees. (May consider own source revenue divided by the number of staff directly related with generation of this source).
- b) **Employee Satisfaction Rate** - This indicator is derived from the annual employee satisfaction survey conducted by the specific organization. The survey can measure both overall satisfaction level and satisfaction with different facets of the job and organization. The parameter of interest shall be the overall satisfaction level measured by the percentage of employee extremely satisfied with their jobs (depending on the measurement scale).
- c) **Number of Employees participating in Training** – This is obtained by taking the total number of employees trained during the year as per training Program.
- d) **Percentage of employees receiving regular performance feedback** – This is calculated by the total number of employees receiving performance feedback / the total number of employees in an organization eligible for receiving performance feedback
- e) **Percentage of HR functions automated** – This is calculated by the number of HR functions and processes automated / total HR functions in an organization
- f) **Employee Retention rate** – This is calculated by the number of employees who remained employed for the entire measurement period / number of employees at the start of the measurement period x100. The Benchmark retention rate is **70%-80%** depending on the nature of the industry. When determining employees remained for the entire measurement period, include only employees on the 1st and last date of the measurement period. Do not include positions added during the year.
- g) **Percentage of grievances resolved** – This is calculated by Total grievances reported during the measurement period/ number of grievances resolved during the measurement period

- h) **Percentage of staff LHIV provided with care and support** – This is calculated by the total number of staff LHIV provided with care and support/ total number of staff LHIV in an organization x 100 (the ideal target is 100%).
- i) **Number of awareness programs conducted during the year** – Is aimed at sensitizing employees on HIV/AIDS prevalence and non-communicable diseases interventions.
- j) **Number of new reported HIV cases-** If an Institution has strengthened HIV awareness, advocacy, testing, and other intervention measures, it is expected to see a declining number of new infections
- k) **Number of employees with non-communicable diseases** – If an organization has strengthened care, wellness, and support programs to the staff, we should expect declining incidences of non-communicable diseases

2. **GOOD GOVERNANCE AND CONTROL**

- a) **Number of corruption awareness programs conducted during the year** – Is aimed at sensitizing employees on corruption at workplace and effect of it to the economy.
- b) **Number of corruption cases reported** – It is assumed that if an organization has strengthened policies, procedures, and capacity for tracking, preventing, and combating corruption the number of corruption cases reported will be declining year on.
- c) **Audit Opinion** - This is measured by the quality of audit opinion derived from the audit report. The most favourable opinion receives the highest weight in rating. Audit opinions are categorized as follows
 - (i) Unqualified opinion-clean report
 - (ii) Qualified opinion-qualified report
 - (iii) Disclaimer of opinion-disclaimer report
 - (iv) Adverse opinion-adverse audit report
- d) **Percentage of audit findings resolved by the deadline** -this measure is calculated by total audit findings resolved in the measurement period/ total audit findings raised in the measurement period. The benchmark % is 100%
- e) **Overall rating from the annual board assessment** - this is the overall score extracted from the annual board self-assessment survey. The

score can also be calculated as an average score from the rating of each facet of the board assessment tool. The benchmark rating should be 70%-80%

- f) **Percentage of business processes with business continuity plan** - Business processes with business continuity plans/ total business processes x100. A business process is a collection of linked tasks and activities which finds their end in the delivery of a service or product to the customers or accomplish an organizational goal
- g) **Percentage of risks with valid mitigations** - total risks with valid mitigation/ total organizational risks x100%. The benchmark level is 100%. To ensure objectivity in developing this measure there must be an objective verification of the organization's risk register

3. CUSTOMER SERVICE

- a) **Number of services automated** - number of customer-focused services automated within the measurement period. The ideal benchmark is 100% automation of customer-focused services
- b) **Average response time in servicing a customer** - this is measured by taking total time taken to respond during the selected time period divided the number of responses in the selected time period. The measure can be calculated for each service and media used to deliver service to the client. Each organization can have specific benchmark established in their client service charters, SLAs and in some cases, there are industry benchmarks or benchmarks set by regulators
- c) **Customer efforts score (CES)** - is a customer experience survey metric that enables service Institutions to account for the ease of customer interaction and resolution during a request. By tracking CES and what drives it, service leaders can make changes to improve the customer experience. It measures how hard a customer has to try to get an issue resolved. This is measured through a survey of customers by using an itemized rating scale of 1-5 by asking customers "on a scale of 1-5 how much efforts did you have to put forth to handle your issue".

Itemized rating scale

Rating	1	2	3	4	5
Description	Very low effort	Low effort	Neutral	High effort	Very high effort

The desirable score is 1-2

- d) **Customer Satisfaction score** - is a basic measurement of customer satisfaction with a product or service. Customer satisfaction is generally calculated by the % of overall satisfaction with a product or service from a survey of customers. This can also be measured on different aspects of service or products. The ideal level of satisfaction should be not less than 80%
- e) **Customer retention score** - this is calculated by using the following formula: $(E-N)/S \times 100$. Whereby;
 - E = Total number of customers at the end of the measurement period
 - N = Number of customers acquired during the measurement period
 - S = Total number of customers at the beginning of measurement period.
- f) **Percentage of customer complaints solved on time** - this is calculated by total customer complaints resolved within standard time in the measurement period divided by total complaints from customers during the measurement period. The ideal benchmark is 100%.

4. FINANCIAL PERFORMANCE

- a) **Operating Revenue** - This is the total Revenues generated from a Institution's core/primary business activities.
- b) **Operating Expenses** – These are Costs incurred from normal operating activities/business operations.
- c) **Net Profit before Tax** - Operating Profit after deducting operating expenses and other charges (incl. interest) before income tax.
- d) **Administration Costs** - Sum of all necessary costs to maintain daily operations and administer the business (incl. salaries and general services), BUT excluding direct costs attributable to the production of goods and services.
- e) **Employee Costs** - The sum of employee basic salaries, taxes, and benefits
- f) **Average Assets** - Average of the total assets by adding total assets at the beginning of the accounting period to the value of the total asset at the end of the accounting period dividing by two.

- g) **Shareholder's Equity** - The amount of capital contributed by the owners to the business, and it includes capital funds, reserves, accumulated surplus, and retained earnings (OR the difference between a company's total assets and its total liabilities).
- h) **Debt** - Connotes total liability, including current and non-current liabilities representing all amounts the business owes to other people.
- i) **Financial Pay-out** - The amount of money (Non-Tax) remitted by a PISC to the shareholder/Government either as dividends from profits or Contributions paid as a percentage of Own source revenues/collections.
- j) **Retained Collections** - Amount of money collected by a non-commercial PSC and not remitted to the Government
- k) **Dividend** - Payment made by a PSC to the shareholders as a distribution of profits.
- l) **Government Subvention** - Funds granted by the Government from its budget to a PSC to support operations (in specific pre-determined areas)
- m) **Capital Employed** – is derived by taking Total Asset less current Liabilities. It represents the sum of capital injected by owners of the business (Shareholders' equity and Long-term debts financing).